

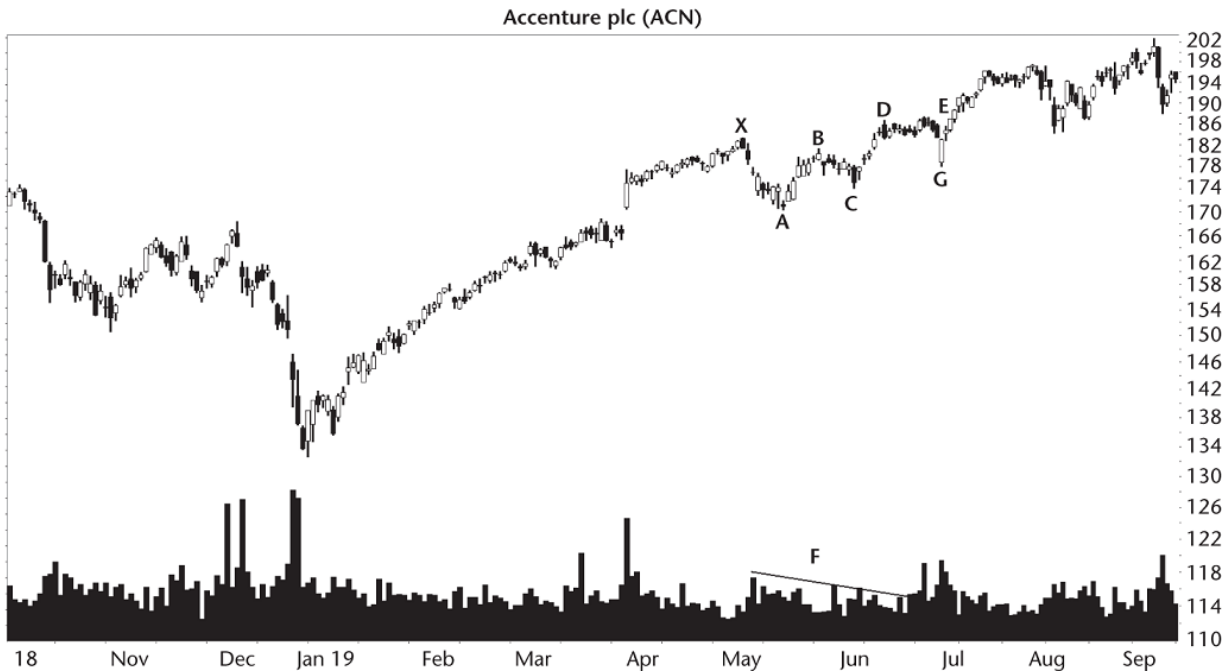


Figure 16.1 This bearish butterfly is really bullish. Price continues the upward trend.

Volume (F) trended downward as the chart shows, and that's typical for the pattern.

From a swing trader's point of view, this butterfly would be difficult to profit from by shorting the stock. The drop to G was just too fast. Of course, this chart is just one example of a bearish butterfly, but it does serve as a warning that making money with this pattern could be more difficult than with other Fibonacci-based patterns.

Let's dig into the identification guidelines so we can spot butterflies in the bush.

Identification Guidelines

Table 16.1 shows the identification guidelines. Refer to **Figure 16.2** for another example of a bearish butterfly. I show the butterfly pattern at turns XABCD. The stock drops from D like it's supposed to and makes a strong push lower, closing below the bottom of the pattern at E and staging a downward breakout. Unfortunately, price drops only 3% to F before